TOPIC 3 · ECONOMIC ISSUES

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David Jones collapses after 188 years as spending slows

> Australia's oldest department store has gone into administration after rent talks with its biggest landlord broke down. Its collapse shows how higher interest rates and rising costs are squeezing retailers.

WHAT HAPPENED

- Administrators McGrathNicol were appointed, and receivers (FTI Consulting) were appointed by secured lender Hilco.
- Talks with Westfield owner Scentre Group, landlord for 17 of the 38 stores, broke down. Rent had been unpaid since September.
- All stores keep trading while a sale or recapitalisation is sought. Landlords hold about $45m in bank guarantees.
- The business chamber ACCI said retailers' costs are rising faster than they can absorb, and higher rates will make this worse.
- Rival Myer's shares rose 10.9%. Online searches for David Jones are about 30% below 2019 levels.

Voluntary administration: an insolvency process where an administrator takes control to try to save or sell the business

Cyclical unemployment: joblessness caused by a downturn in aggregate demand

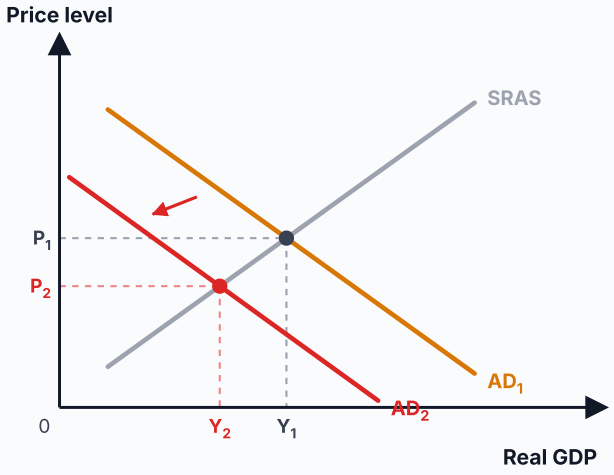
38
David Jones stores, all still trading during administration

17
Stores leased from Scentre Group (Westfield)

188
Years since the store first opened

DIAGRAM

Higher interest rates and weaker spending



Five rate rises this year have cut households' spending power: more income goes on mortgage repayments. Aggregate demand shifts from **AD_1 to AD_2**, so real GDP falls from **Y_1 to Y_2** and price pressure eases from **P_1 to P_2**.

Discretionary retailers such as department stores are hit first. Business failures and job losses are part of how tighter policy slows the economy.

Exam angle: Is this **cyclical or structural**? Weak spending is cyclical, but the long-run shift to online shopping is structural. The best answers mention both.

SYLLABUS LINK

Topic 3 – Economic growth and unemployment: effects of a slowdown in household consumption; types of unemployment.

TRY THIS

1. Using an AD/AS diagram, explain how higher interest rates can lead to retail business failures. **(4 marks)**
2. Assess whether job losses at department stores are mainly cyclical or structural. **(5 marks)**

Read more: abc.net.au/news/2026-11-05/asx-markets-business-live-news-november-5-2026/107347286 · sharecafe.com.au – Retailer David Jones enters administration (5 Nov)

Summary written in our own words for classroom use